



2021
Higher School Certificate
SBHS Trial Examination

Online Economics Exam
9:00-11:05am 24th -8-2021 which includes
upload time. Upload each answer as a new
document on canvas assignments.

General Instructions

- Working time – 2 hours
- Upload time – 5 minutes
- Write using black pen
- NESA approved calculators may be used
- Write your student number and/or name at the top of every page

Total marks – 60

Value – 20% of internal mark

Section I – 20 marks

- Attempt Questions 1,2,3,4.

Section II –20 marks

- Attempt **either** Question 5 **or** 6

Section IV – 20 marks

- Attempt **either** Question 7 **or** 8

DO NOT SHARE THIS PAPER WITH OTHER SCHOOLS

IMPORTANT – Open Book Test

Start a new document for each question. Therefore, you **will need 6 documents**, (word or hand written), one for each question that you are attempting. Copy/write each question in a new document/page. Answer the question. When finished, save each document and upload on canvas in “Assignments folder, under each question as specified.” The plagiarism checker will be on and penalties will apply for copying over 10% per question.

Section I (20 marks) Attempt ALL Questions 1-4.

Question 1

Marks

Start a new document

Discuss the impact on the Australian economy of ONE protectionist policy used by another country. (About 80 words) 4

Questions 2

Start a new document

With reference to an economy other than Australia, evaluate ONE recent (last 5 years) strategy used to promote economic growth in this economy. (About 120 words) 6

Question 3

Start a new document

Explain how the non-accelerating inflation rate of unemployment (NAIRU) has policy implications for the reduction in the rate of unemployment. (About 80 words) 4

Question 4

Start a new document

Analyse the effects on economic activity of an easing in the stance of monetary policy in Australia. (About 120 words) 6

Section II (20 marks) Start a new document (about 800 words)
Attempt either Question 5 or Question 6

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - use the information provided
 - apply relevant economic terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
-

Either

Question 5 (20 marks)

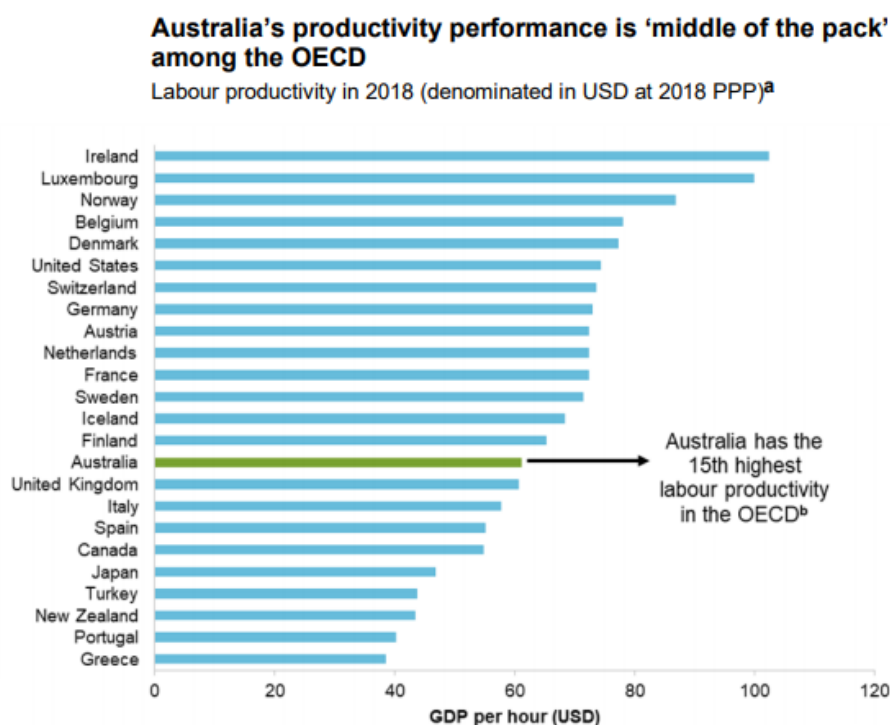
Evaluate the effectiveness of microeconomic policies in achieving the Australian government's objectives of economic growth and external stability. In your response, refer to the information provided

Stimulus 1

Like in many other countries, the economic reforms undertaken in Australia have largely focused on opening markets to increased competition, including in the traded, financial and government sectors. These reforms have led to significant structural change. They have transformed a relatively closed and regulated economy into one that is more efficient, flexible and open, and in the process have reduced the size of industries supported by large ongoing subsidies and high tariffs, notably in manufacturing. Despite this, there is good evidence to suggest the reforms have led to an overall rise in export volumes both through raising productivity via supply-side reforms and improving demand management.

Laura Berger-Thomson, John Breusch and Louise Lilley – October 2018 - Treasury Working Paper

Stimulus 2 [Productivity Commission sourcing OECD Stat Database](#)



Section II - continued

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
- use the information provided
- apply relevant economic terms, concepts, relationships and theory
- present a sustained, logical and cohesive response

OR

Question 6 (20 marks)

Evaluate the effectiveness of the use of Fiscal Policy in achieving the Australian government's objectives of full employment and a fairer distribution of income. In your response, refer to the information provided

Stimulus 1 :Source: The guardian

Fiscal stimulus works.

So too does having interest rates at effectively zero and the Reserve Bank doing all it can to reassure businesses that those rates will stay low – even as people around the traps are eager for them to be raised.

But while these numbers are good, one issue with the massive stimulus is that the big growth since the pandemic in hours worked is in the non-market sector.

In the June quarter workers in the health, education and public service sectors worked around 5% more hours than they did in the last three months of 2019. By contrast, workers in the market sector (excluding the seasonal agriculture sector) worked the same amount of hours.

It is good that the private sector is back to where it was before the pandemic – but as the amount of hours worked is supposed to keep growing, that means we're still around 1% to 2% below where we would have expected to be before the pandemic.

But that is still an amazing recovery given a year ago the amount of hours worked in the market sector had fallen around 12% in six months.

Governments do create jobs, and they can prevent massive recessions. They can keep people out of poverty, they can provide necessary services and they do not need to worry about their budget like they are a household.

Let us hope these lessons are not forgotten when the pandemic is over.

Stimulus 2

Australian income tax rates for 2020-21 and 2021-22 (residents)

Income thresholds	Rate	Tax payable on this income
\$0 – \$18,200	0%	Nil
\$18,201 – \$45,000	19%	19c for each \$1 over \$18,200
\$45,001 – \$120,000	32.5%	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	37%	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	45%	\$51,667 plus 45c for each \$1 over \$180,000

Section III (20 marks) Start a new word document (About 800 words)
Attempt either Question 7 or Question 8

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant economic information, terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
-

Either

Question 7 (20 marks)

Discuss the impacts of Australia's Free Trade Policies on the Australian economy.

OR

Question 8 (20 marks)

Discuss the impacts of a depreciating Australian dollar on the Australian economy.

End of paper